CLOSING STATEMENT

Banyan Marketplace | San Antonio, TX

Property	Banyan Marketplace
Settlement Date	May 12, 2023
Buyer	Juniper Peak Real Estate Fund
Seller	Orchid Bay Ventures
Sale Price	$73,040,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$73,040,000			
Earnest money deposit		$356,439	$356,439	
Real estate tax proration	$590,363			$590,363
Rent proration			$510,257	
Security deposits assumed	$364,946	$364,946		
Prepaid rents			$344,029	$344,029
Owner's title policy premium	$325,267			
Lender's title policy premium		$538,597	$538,597	
Escrow fee	$87,295			$87,295
Recording fees			$315,721	
Transfer tax	$239,072	$239,072		
Survey			$538,592	$538,592
Legal fees - Buyer	$117,721			
Legal fees - Seller		$375,739	$375,739	
Broker commission	$209,724			$209,724
Loan origination fee			$373,081	
Lender legal	$355,628	$355,628		
Appraisal fee			$141,380	$141,380
Environmental report	$384,019			
Property condition report		$158,183	$158,183	
Tax escrow deposit	$364,822			$364,822
Insurance escrow deposit			$176,020	

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$73,040,000			
Legal fees - Seller		$61,233	$61,233	
Broker commission	$602,617			$602,617
Loan origination fee			$403,988	
Lender legal	$171,600	$171,600		
Appraisal fee			$369,571	$369,571
Environmental report	$622,292			
Property condition report		$352,172	$352,172	
Tax escrow deposit	$143,349			$143,349
Insurance escrow deposit			$166,720	
Replacement reserve deposit	$462,320	$462,320		
Utility deposits			$84,465	$84,465
Assumed vendor contracts credit	$63,004			
Tenant improvement credit		$678,786	$678,786	
Courier / wire fees	$498,097			$498,097
Municipal certificates			$392,538	
Purchase price	$483,799	$483,799		
Earnest money deposit			$662,623	$662,623
Real estate tax proration	$174,020			
Rent proration		$595,028	$595,028	
Security deposits assumed	$660,481			$660,481
Prepaid rents			$597,603	
Owner's title policy premium	$15,150	$15,150		
Lender's title policy premium			$192,487	$192,487
Escrow fee	$227,590			
Recording fees		$571,257	$571,257	
Transfer tax	$456,743			$456,743
Survey			$373,762	

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Operating Performance

Debt service coverage ratio was 7.41x on a trailing basis against a covenant minimum of 1.20x. Average rent is $23 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period.

Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $414,000, representing a 4.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.8% over the hold period.

Operating Performance

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Debt service coverage ratio was 5.57x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.71% reflects the in-place income and the stabilized occupancy assumption.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 7.59x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.79% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $398,000, representing a 7.4% increase over the prior year.

Financial Analysis

Effective gross income for the trailing period was $361,000, representing a 10.9% increase over the prior year. The going-in capitalization rate of 7.39% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $64,000 or approximately 8.81 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. Average rent is $23 per square foot with parking at a ratio of 18 spaces per 1,000 square feet. Effective gross income for the trailing period was $242,000, representing a 7.4% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$73,040,000			
Tenant improvement credit		$107,048	$107,048	
Courier / wire fees	$465,861			$465,861
Municipal certificates			$432,687	
Purchase price	$526,777	$526,777		
Earnest money deposit			$19,109	$19,109
Real estate tax proration	$550,941			
Rent proration		$328,059	$328,059	
Security deposits assumed	$570,274			$570,274
Prepaid rents			$206,661	
Owner's title policy premium	$182,674	$182,674		
Lender's title policy premium			$496,258	$496,258
Escrow fee	$301,959			
Recording fees		$338,196	$338,196	
Transfer tax	$432,414			$432,414
Survey			$24,094	
Legal fees - Buyer	$663,520	$663,520		
Legal fees - Seller			$322,556	$322,556
Broker commission	$219,078			
Loan origination fee		$703,828	$703,828	
Lender legal	$670,025			$670,025
Appraisal fee			$701,156	
Environmental report	$53,975	$53,975		
Property condition report			$32,183	$32,183
Tax escrow deposit	$469,145			
Insurance escrow deposit		$103,211	$103,211	
Replacement reserve deposit	$479,552			$479,552
Utility deposits			$31,474	

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Income and Expense Review

Effective gross income for the trailing period was $396,000, representing a 4.2% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.54x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.48% reflects the in-place income and the stabilized occupancy assumption.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $23 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Effective gross income for the trailing period was $207,000, representing a 3.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Operating Performance

Average rent is $23 per square foot with parking at a ratio of 28 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 7.38x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $382,000, representing a 6.5% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. The going-in capitalization rate of 5.98% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $11,000, representing a 12.4% increase over the prior year. Debt service coverage ratio was 8.05x on a trailing basis against a covenant minimum of 1.20x.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $298,000, representing a 3.9% increase over the prior year. Operating expenses totaled $402,000 or approximately 33.35 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Operating expenses totaled $400,000 or approximately 43.54 per square foot, with real estate taxes representing the largest line item. Average rent is $23 per square foot with parking at a ratio of 11 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.67x on a trailing basis against a covenant minimum of 1.20x.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$73,040,000			
Recording fees		$650,399	$650,399	
Transfer tax	$246,625			$246,625
Survey			$603,174	
Legal fees - Buyer	$592,918	$592,918		
Legal fees - Seller			$203,833	$203,833
Broker commission	$635,120			
Loan origination fee		$333,049	$333,049	
Lender legal	$242,969			$242,969
Appraisal fee			$189,254	
Environmental report	$644,075	$644,075		
Property condition report			$546,956	$546,956
Tax escrow deposit	$130,973			
Insurance escrow deposit		$698,780	$698,780	
Replacement reserve deposit	$583,953			$583,953
Utility deposits			$708,856	
Assumed vendor contracts credit	$295,497	$295,497		
Tenant improvement credit			$353,748	$353,748
Courier / wire fees	$424,001			
Municipal certificates		$24,601	$24,601	
Purchase price	$359,859			$359,859
Earnest money deposit			$127,313	
Real estate tax proration	$701,543	$701,543		
Rent proration			$157,170	$157,170
Security deposits assumed	$271,394			
Prepaid rents		$131,390	$131,390	
Owner's title policy premium	$204,485			$204,485
Lender's title policy premium			$445,425	

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Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average rent is $23 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.57x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $208,000 or approximately 16.01 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. The going-in capitalization rate of 5.02% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $102,000 or approximately 28.68 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Financial Analysis

Average rent is $23 per square foot with parking at a ratio of 31 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 5.66% reflects the in-place income and the stabilized occupancy assumption. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $381,000 or approximately 23.42 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 7.59x on a trailing basis against a covenant minimum of 1.20x.

Financial Analysis

The going-in capitalization rate of 5.23% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $421,000 or approximately 32.56 per square foot, with real estate taxes representing the largest line item. Average rent is $23 per square foot with parking at a ratio of 18 spaces per 1,000 square feet. Debt service coverage ratio was 5.40x on a trailing basis against a covenant minimum of 1.20x.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 7.05x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.65% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$73,040,000			
Insurance escrow deposit		$553,046	$553,046	
Replacement reserve deposit	$571,558			$571,558
Utility deposits			$224,551	
Assumed vendor contracts credit	$15,963	$15,963		
Tenant improvement credit			$487,109	$487,109
Courier / wire fees	$294,568			
Municipal certificates		$133,322	$133,322	
Purchase price	$628,390			$628,390
Earnest money deposit			$474,551	
Real estate tax proration	$155,020	$155,020		
Rent proration			$584,666	$584,666
Security deposits assumed	$91,197			
Prepaid rents		$675,132	$675,132	
Owner's title policy premium	$37,277			$37,277
Lender's title policy premium			$278,704	
Escrow fee	$45,894	$45,894		
Recording fees			$258,289	$258,289
Transfer tax	$308,294			
Survey		$455,176	$455,176	
Legal fees - Buyer	$144,246			$144,246
Legal fees - Seller			$544,636	
Broker commission	$520,376	$520,376		
Loan origination fee			$165,653	$165,653
Lender legal	$694,206			
Appraisal fee		$36,662	$36,662	
Environmental report	$370,541			$370,541
Property condition report			$555,190	

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Banyan Marketplace Owner LLC

By: Chloe Ito Title: Managing Member Date: 05/12/2023

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Brightline Dry Cleaners

By: Grace Moreno Title: Authorized Signatory Date: 05/12/2023

Exhibit A - Property

Banyan Marketplace, 307 Airport Street, San Antonio, TX 80406. Parcel containing approximately 21.69 acres, together with all improvements thereon.

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